

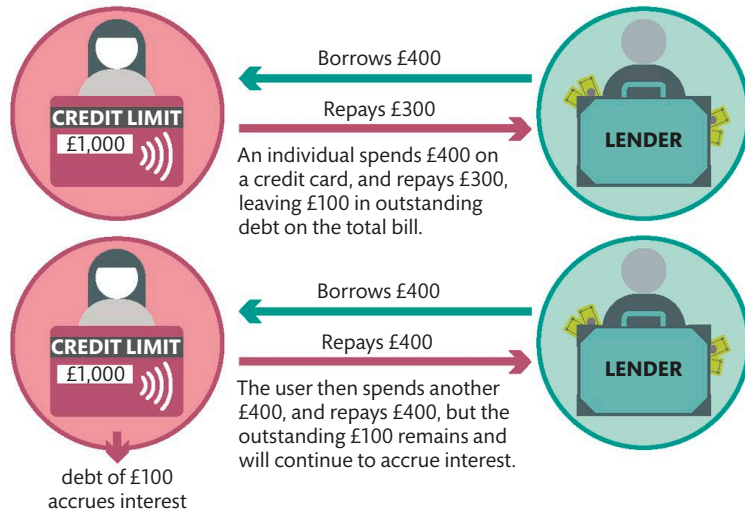


NEED TO KNOW

- Balance transfer** The transfer of all outstanding balances from one credit card to another.
- Cash advance** The use of a credit card to withdraw cash from an ATM (automated teller machine). A credit card company normally charges more interest as well as additional fees when cards are used in this way.
- Revolving credit** A line of credit that allows customers to use funds when they are needed. It is usually used for operating purposes and can fluctuate each month depending on the customer's cash flow needs.
- Credit limit** The maximum amount an individual can borrow at any one time.

REVOLVING CREDIT

A credit card is a form of revolving credit. This is an arrangement that allows for a loan amount to be withdrawn, repaid, and then redrawn again any number of times. The borrower can withdraw funds up to a set limit.



WARNING

Credit-card fraud involves using a credit card as a fraudulent source of funds in a transaction.

In the simplest form of the crime, the fraudster obtains an individual's credit card details and uses them over the phone or on the internet to make purchases in the cardholder's name.

At the other extreme, the fraudster may use the cardholder's details to assume his or her identity and open bank accounts, obtain credit cards, or organize loans and other lines of credit in the cardholder's name.

Credit-card users should always check their monthly statements carefully in order to determine whether there have been any fraudulent transactions.

